CORVIN MIDSTREAM — ANNUAL FINANCIAL DISCLOSURE (EXCERPT)

This excerpt reproduces selected portions of the annual financial disclosure of Corvin Midstream, prepared at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recent completed financial year and are expressed in millions of United States dollars.

1. Business profile and organisation

Corvin Midstream is a publicly traded company organised under the laws of Arden. The workforce numbers approximately 2,255 persons spread across 20 states, and the company reports through the segments set out below. Its registered agent in Arden is The Registry Company.

2. Segment revenue overview

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Gas marketing	1,705	20.3	yes
Liquids marketing	1,395	16.6	yes
Gathering and processing fees	2,491	29.7	no
Compression services	1,484	17.7	no
Terminals	848	10.1	no
Corporate	477	5.7	no
Total revenue	**8,400**	**100.0**	

For the year, revenue from sales of Fossil Fuel Products — as that term is defined in the Climate Resilience Funding Act — totalled $3,100M, comprising the segments marked above. Revenue from all segments totalled $8,400M. In the preceding year the corresponding proportion was 34.5%.

3. Capital spending, depreciation and impairment

Capital expenditure for the year came to $349.0M; 70.8% of that outlay was directed to maintenance of existing assets. Depreciation, depletion and amortisation amounted to $436.4M. An impairment of $18.4M was recorded in respect of legacy metering assets.

4. Hedging and exposure to commodity prices

Approximately 60.4% of anticipated production or purchase volumes for the coming year was hedged. Open derivative positions carried a notional value of $1,442.6M at year end. A hypothetical ten per cent adverse movement in benchmark prices would have reduced pre-tax earnings by $103.6M.

5. Safety, environmental and workforce indicators

The recordable injury rate stood at 1.29 per two hundred thousand hours worked. Across all jurisdictions, the company reported 1 notices of violation and paid civil penalties of $1.1M. Voluntary turnover came to 5.7%.

6. Litigation and loss contingencies

The company is party to 19 proceedings arising in the ordinary course of business. Management does not consider any of them, whether individually or in the aggregate, likely to have a material adverse effect. Accruals recorded in respect of loss contingencies were $18.0M.

7. Geographic distribution of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 53.2% of revenue, while Arden accounted for 1.91% of revenue. No single customer accounted for more than 12.9% of revenue. Operating permits are held in 26 states and one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	2,292.3	30.5	641
Mid-Atlantic and north east	1,769.4	12.5	550
Midwest	979.7	15.0	326
West and mountain	851.8	6.9	296
All other, including Arden	346.8	11.9	235

These regional figures represent management's allocation and are rounded; they do not constitute a segment disclosure and do not sum to total revenue.

8. Commitments under contract and off-balance-sheet items

Purchase obligations under take-or-pay and transportation contracts stood at $1,120.2M, of which $410.7M falls due within one year. Operating lease commitments added a further $146.1M. Surety bonds and letters of credit of $92.6M have been issued, principally in respect of decommissioning and of state fuel tax obligations. There are no off-balance-sheet financing arrangements other than those described.

9. Income tax position

The effective rate came in at 14.9%, compared with a statutory federal rate of 21%. Principal reconciling items comprised state taxes net of federal benefit (2.0 points), depletion allowances (5.9 points adverse to the reconciliation), and the resolution of an examination covering the years 2016 to 2021. Unrecognised tax benefits stood at $24.6M. The company is under examination in 1 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more amounted to $18.0M; management believes these were on terms no less favourable than those available from unrelated parties. No director or officer has an interest in any supplier of the company.

11. Accounting estimates considered critical

Management regards as critical the estimates involved in: recognising revenue on contracts with variable consideration; assessing asset retirement obligations (discount rate 3.6%, expected settlement over 34 years); evaluating the recoverability of long-lived assets; and valuing open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $9.5M.

12. Selected financial data for the last five years

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	6,521.1	7,040.7	6,845.6	7,170.5	8,400
Revenue from Fossil Fuel Products ($M)	2,609.8	2,702.0	2,643.5	2,475.5	3,100
Capital expenditure ($M)	385.6	342.5	363.4	317.5	349.0
Employees (000)	2.1	2.3	2.2	2.1	2.2

Prior-year figures are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

On 11 June the company announced the retirement of its chief financial officer, for consideration of $34.2M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions and payout policy

Amounts distributed to holders came to $225.4M, equivalent to 41.4% of distributable cash flow. No fixed distribution policy has been adopted by the board.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.